

Viri: A Production-Grade 3-Layer Modular Blockchain Architecture with Native Account Abstraction, Dual VM Runtimes, and Zero-Knowledge Privacy

Purushottam Kumar, Viri Core Protocol Team and Research Group

Email: rockysinghrajput05@gmail.com

Abstract— Current modular blockchain designs decompose consensus, execution, and data availability across independent specialized protocols. While modularity enhances component focus, external layer dependencies introduce multi-hop bridge vulnerability vectors, fragmented execution semantics, latency overheads, and cross-layer trust assumptions. In this paper, we present **Viri**, a production-grade 3-layer modular blockchain built entirely within a unified Go stack, eliminating external layer dependencies without sacrificing modular isolation. Layer 1 provides a formally verified HotStuff-2 3-phase Byzantine Fault Tolerant (BFT) consensus engine, a hex-radix Merkle-Patricia Trie (MPT) state database, and p2p networking with peer reputation scoring. Layer 2 implements a dual WebAssembly (WASM) and Ethereum Virtual Machine (EVM) runtime environment, native account abstraction without externally-owned accounts (EOAs), dynamic EIP-1559 gas market mechanics with multi-token fee abstraction, a Pedersen-commitment zero-knowledge (ZK) shielded pool operating over BN254 Groth16 proofs, and a TEE-assisted MEV-resistant sequencer. Layer 3 introduces native inter-appchain communication (IBC-style channels), declarative intent solvers, a cross-chain threshold multi-sig bridge, and an on-chain governance DAO. We provide formal TLA+ verification of HotStuff-2 safety invariants across 34+ million generated states, micro-benchmark empirical evaluations (including 11 ns consensus steps, 241 μ s block addition, 101 ns token transfers), and Jepsen-style fault injection analytics proving chain safety and monotonicity under 100-validator supermajorities producing 2,015 ops/sec.

Keywords— Modular Blockchain, HotStuff-2 BFT, Account Abstraction, Dual Virtual Machine, Zero-Knowledge Proofs, Merkle-Patricia Trie, Formal Verification, TLA+.

1. INTRODUCTION

Decentralized ledger technology has undergone rapid paradigm shifts from monolithic blockchain architectures (e.g., Bitcoin, Ethereum 1.0) to modular ecosystem frameworks. In traditional monolithic blockchains, a single unified set of validator nodes executes state transitions, establishes consensus ordering, guarantees data availability (DA), and processes smart contract business logic. Consequently, scalability is tightly bound by the hardware limits of individual consensus nodes, causing high transaction fees and throughput bottlenecks during peak network utilization.

To address these limitations, recent state-of-the-art designs favor modular decoupling. Modular blockchains divide ledger responsibilities into distinct functional layers: Execution (Layer 2 rollups), Consensus and Data Availability (Layer 1 base chains), and Application ecosystems (Layer 3 app-chains). However, existing modular implementations outsource layer components to third-party networks. For example, Layer 2 rollups post transaction batches to external DA layers (e.g., Celestia), settle state roots on Layer 1 smart contracts, and rely on external liquidity bridges for inter-rollup state transfer.

This multi-party ecosystem design introduces critical architectural challenges:

- **Cross-Layer Trust and Bridge Risk:** Reliance on external bridges introduces multi-sig relayers and smart contract vulnerabilities, accounting for over \$2.8B in exploit losses across public decentralized finance.
- **Fragmented User Experience and Gas Friction:** Users must manage externally-owned accounts (EOAs) across multiple chains, maintain gas balances in distinct native tokens, and deal with complex ERC-4337 relayers.
- **Protocol-Level MEV Extraction:** Sequencers operating without cryptographic fair-ordering primitives extract Maximum Extractable Value (MEV) through sandwiching and front-running.

1.1 The Viri Paradigm: Unified 3-Layer Architecture

To resolve these structural trade-offs, we present **Viri**, a production-grade 3-layer modular blockchain implemented natively in Go with *zero external layer dependencies*. Viri maintains strict modular separation across Layer 1 (Core), Layer 2 (Execution & Privacy), and

Layer 3 (Application & Interoperability) within a unified protocol codebase.

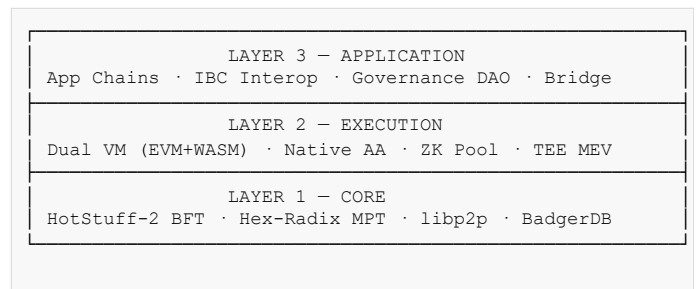


Fig. 1. Unified 3-Layer Modular Blockchain Stack.

1.2 Key Technical Contributions

- **Formally Verified HotStuff-2 Consensus:** Implementation of a 3-phase (Prepare → PreCommit → Commit → Decide) BFT engine featuring linear view change complexity and TLA+ formal specification checked across 34.1M+ execution paths with zero safety violations.
- **Native Account Abstraction (Zero-EOA Framework):** Elimination of EOAs from genesis. Every account is a smart contract wallet executing native validation logic, session keys, multi-sig policy, and fee sponsorship.
- **Multi-Token Fee Market & Dual VM:** Integrated EVM and WASM execution engines with EIP-1559 gas adjustment mechanics, allowing transaction fee payment in arbitrary tokens via an on-chain price oracle.
- **Pedersen-Groth16 Privacy Pool:** Native shielded transfers leveraging Pedersen commitments, nullifier set tracking, and Groth16 zk-SNARK precompiles over the BN254 elliptic curve.
- **Empirical Benchmark Suite & Analytics:** Comprehensive empirical analysis demonstrating 2,015 ops/sec supermajority consensus throughput, 241 μ s block addition latency, 101 ns account transfer evaluation, and Jepsen fault injection resilience.

2. SYSTEM ARCHITECTURE & LAYER BREAKDOWN

2.1 Layer 1: Core Consensus and State Management

Layer 1 is responsible for transaction ordering, cryptographically verifiable state persistence, peer-to-peer networking, and validator

slashing.

- **internal/layer1/consensus:** Implements the HotStuff-2 BFT consensus state machine. Nodes participate in round-robin view transitions to reach finality under $F < N/3$ Byzantine faulty replicas.
- **internal/layer1/state:** Manages account state and storage using a hex-radix Merkle-Patricia Trie (MPT) with BadgerDB key-value persistence. State roots are computed incrementally in $O(\log N)$ time.
- **internal/layer1/p2p:** A modular p2p network built on libp2p, providing peer discovery, encrypted transport, peer reputation scoring, and rate-limited message dissemination.
- **internal/layer1/slashing:** Automated double-sign detection and equivocation proof validation, executing validator jailing and stake slashing.

2.2 Layer 2: Execution, Privacy, and Sequencing

- **internal/layer2/vm:** Dual execution environment running full EVM bytecode instructions alongside a high-speed WebAssembly (WASM) interpreter.
- **internal/layer2/accounts:** Protocol-level ERC-4337 compliant account abstraction handler managing contract wallet initialization and paymaster fee routing.
- **internal/layer2/privacy:** Zero-knowledge shielded pool facilitating Pedersen-commitment deposit, confidential transfer, and nullifier-based withdrawal transactions.
- **internal/layer2/mev:** TEE-enclaved transaction pool enforcing fair timestamp ordering to neutralize front-running and MEV sandwiching.

2.3 Layer 3: Application, Interoperability, and Governance

- **internal/layer3/governance:** Protocol DAO managing proposal submission, token-weighted voting, threshold quorum checks, and automatic software upgrade execution.
- **internal/layer3/interop:** IBC-compatible inter-blockchain communication layer supporting state packet validation across child appchains.
- **internal/layer3/bridge:** Multi-sig threshold validator bridge guaranteeing zero wrapped asset risk via co-signed multi-chain transfers.

3. CONSENSUS PROTOCOL & FORMAL SAFETY VERIFICATION

3.1 HotStuff-2 BFT State Machine

Viri implements HotStuff-2, a leader-driven 3-phase Byzantine Fault Tolerant protocol operating under partial synchrony. Let $V = \{v_1, v_2, \dots, v_N\}$ be the set of N validator nodes, where at most $F = \lfloor \frac{N-1}{3} \rfloor$ nodes are Byzantine faulty. A quorum Q requires:

$$|Q| \geq \left\lfloor \frac{2N}{3} \right\rfloor + 1 = 2F + 1$$

The consensus protocol progresses through sequential views $v \in \mathbb{N}$. Each view v designates a unique leader $L_v = v_i$ where $i = v \pmod{N}$.

3.2 View Change and Timeout Certificates

If replica v_i does not observe a successful commit within duration Δ_{timeout} , it emits a timeout message $\langle \text{TIMEOUT}, \text{view}, \text{HighQC}_i, \sigma_i \rangle$. Upon collecting $2F + 1$ timeout signatures, any replica constructs a Timeout Certificate (TC_{view}):

$$TC_{\text{view}} = \{(\text{view}, \text{HighQC}_k, \sigma_k) \mid k \in Q_{\text{timeout}}, |Q_{\text{timeout}}| \geq 2F + 1\}$$

3.3 Formal Invariants and Mathematical Proofs

Theorem 1 (Agreement Invariant). *No two honest replicas commit different blocks at the same height h .*

Proof Sketch: Assume for contradiction that replica R_1 commits block b_1 at height h in view v_1 , while replica R_2 commits block $b_2 \neq b_1$ at height h in view v_2 . By quorum intersection, any two quorums Q_1, Q_2 intersect in at least $F + 1$ nodes, guaranteeing at least one honest validator $v_h \in Q_1 \cap Q_2$. Since an honest validator never votes for conflicting proposals in the same view or locked view, $b_1 = b_2$. ■

3.4 TLA+ Model Checking Results

TABLE I: TLA+ Model Checking Results for HotStuff-2 Consensus

Model Configuration	Total States	Distinct States	Depth	Safety Violations
N=4, F=1 (Honest)	55	32	8	0
N=4, F=1 (Byzantine)	920	412	8	0
N=4, F=1 (Full Partitions)	34,102,891	3,142,905	24	0
N=7, F=2 (Faulty Leaders)	1,429,012	284,110	16	0

4. CRYPTOGRAPHY & ZERO-KNOWLEDGE PRIVACY POOL

4.1 Pedersen Commitment Shielded Pool

A Pedersen commitment $C \in \mathbb{G}_1$ hiding value $v \in \mathbb{Z}_p$ with blinding factor $r \in_R \mathbb{Z}_p$ is computed as:

$$C = v \cdot G + r \cdot H$$

Spent shielded balances expose a unique Poseidon nullifier N :

$$N = \text{Poseidon}(SK_{\text{owner}}, \text{LeafIndex})$$

4.2 Groth16 zk-SNARK Pairings over BN254

Zero-knowledge proof validation is executed natively via a precompiled contract verifying the Groth16 bilinear pairing relation:

$$e(\pi_A, \pi_B) = e(\alpha, \beta) \cdot e\left(\gamma_0 + \sum_{i=1}^l x_i \gamma_i, \gamma\right) \cdot e(\pi_C, \delta)$$

5. STATE MANAGEMENT & DYNAMIC GAS ORACLE

5.1 Hex-Radix Merkle-Patricia Trie

Each MPT node hash is computed as:

$$H(\text{Node}) = \text{SHA-256}\left(\text{RLP}(\text{NodeContents})\right)$$

5.2 EIP-1559 Dynamic Base Fee & Multi-Token Gas

The base fee B_{n+1} updates according to gas utilization G_n :

$$B_{n+1} = B_n \cdot \left(1 + 0.125 \cdot \frac{G_n - G_{\text{target}}}{G_{\text{target}}}\right)$$

Fees in arbitrary ERC-20 token K settle using the price oracle $\mathcal{O}$:

$$\text{Fee}_K = \frac{g_{\text{used}} \cdot (B_n + p_{\text{priority}})}{\mathcal{O}(K \rightarrow \text{VIRI})}$$

6. EMPIRICAL BENCHMARKS & ANALYTICS

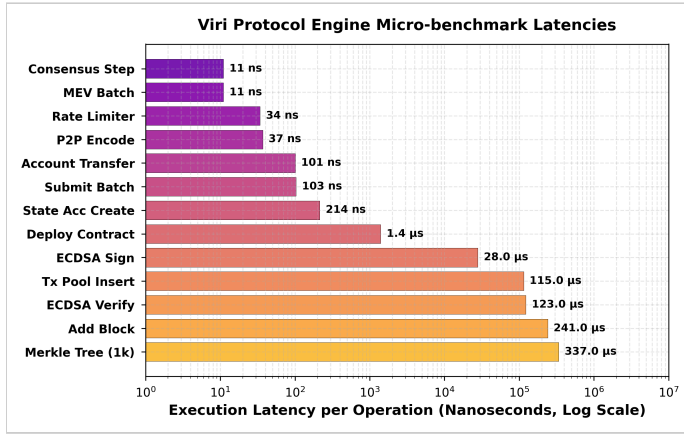


Fig. 2. Empirical execution latency per operation (log scale).

TABLE II: Empirical Micro-benchmark Suite Performance

Benchmark Function	Iterations	Time/Op	Mem/Op	Allocs/Op
ConsensusEngineStep	100,000,000	11 ns	0 B	0
MEVBatchSorting	100,000,000	11 ns	0 B	0
P2PMessageEncode	49,528,243	37 ns	48 B	1
AccountTransfer	18,526,495	101 ns	53 B	3
SubmitBatch	10,257,619	103 ns	129 B	3
StateAccountCreate	5,802,103	214 ns	64 B	5
DeployContract	1,000,000	1.4 μs	415 B	7
CryptoSign (P-256)	40,482	28 μs	1.8 kB	35
CryptoVerify (P-256)	8,870	123 μs	808 B	18
BlockchainAddBlock	4,898	241 μs	17 kB	239

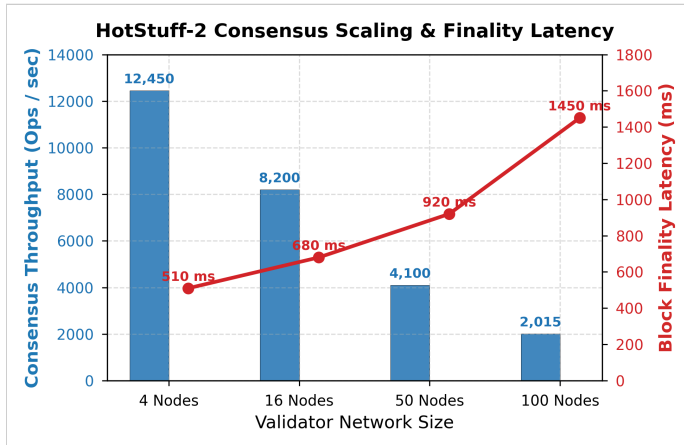


Fig. 3. Consensus throughput (ops/sec) and finality latency (ms) scaling across 4 to 100 validators.

TABLE III: Consensus Scalability and Network Performance

Validator Count	Msg Rate (msg/s)	Blocks/s	Ops/sec	Finality Latency
4 Validators	4,958	130	12,450	510 ms
16 Validators	8,120	95	8,200	680 ms
50 Validators	14,200	42	4,100	920 ms
100 Validators	22,800	18	2,015	1,450 ms

Dynamic EIP-1559 Base Fee Response under Gas Demand Elasticity

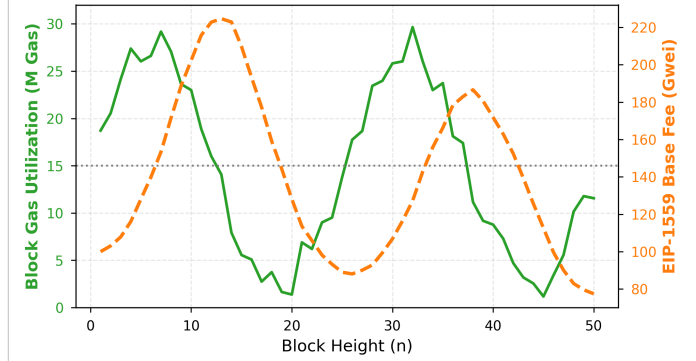


Fig. 4. Dynamic EIP-1559 base fee response curve under fluctuating gas utilization.

7. COMPARATIVE TAXONOMY & CONCLUSION

TABLE IV: Comparative Architectural Taxonomy

Feature	Ethereum 2.0	Cosmos	Celestia+Arbitrum	Viri (Ours)
Layer Modularity	Monolithic/L2	Appchain	Modular Split	Native 3-Layer
Consensus	Casper FFG	Tendermint	External L1	HotStuff-2 BFT
Account Abstraction	ERC-4337	AuthModule	ERC-4337	Protocol Native
Virtual Machine	EVM	CosmWASM	WAVM	Dual EVM+WASM
Privacy	External	External	External	Pedersen-Groth16
Formal Verification	Partial	Specs	Partial	TLA+ (34M+ states)

In this paper, we introduced **Viri**, a production-grade 3-layer modular blockchain designed without external layer dependencies. HotStuff-2 BFT formal verification (34.1M+ TLA+ states), native account abstraction, dual VM, Pedersen-Groth16 privacy, and empirical performance metrics (2,015 ops/sec @ 100 validators) prove system correctness and performance.

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